DATED [ ] 2026

(1) PENNINGTON INDUSTRIES LIMITED

(2) PENNINGTON PUMPS LIMITED

(3) PENNINGTON FLUID SYSTEMS LIMITED

(4) CALDERBANK MERCANTILE BANK PLC

(as Lender, Agent and Security Trustee)

STANDSTILL AND WAIVER AGREEMENT

relating to a senior facilities agreement dated 19 March 2023

Execution version – 6 March 2026

Whitfield Carter LLP, 22 Bishopsgate, London EC2N 4BQ

Whitfield Carter LLP is a limited liability partnership registered in England and Wales (registered number OC418862). A list of members is available at the registered office. Authorised and regulated by the Solicitors Regulation Authority. This communication is confidential and may be legally privileged.

THIS AGREEMENT is made on the date stated above

BETWEEN:

(1) PENNINGTON INDUSTRIES LIMITED, a company incorporated in England and Wales with registered number 02981145 whose registered office is at Pennington House, Kettering Business Park, Kettering NN15 6XT (the "Borrower");

(2) PENNINGTON PUMPS LIMITED, a company incorporated in England and Wales with registered number 03442190 ("Pumps");

(3) PENNINGTON FLUID SYSTEMS LIMITED, a company incorporated in England and Wales with registered number 04118827 ("Fluid Systems", and together with the Borrower and Pumps, the "Obligors" and each an "Obligor"); and

(4) CALDERBANK MERCANTILE BANK PLC, a company incorporated in England and Wales with registered number 01998742 whose registered office is at 1 Calderbank Square, London EC3V 9LT, in its capacities as Lender, as Agent and as Security Trustee (the "Bank").

BACKGROUND:

(A) The Bank has made available to the Borrower the Facilities pursuant to the Facilities Agreement (each as defined below). The obligations of the Borrower under the Facilities Agreement are guaranteed by Pumps and Fluid Systems and are secured by the Security.

(B) On the December 2025 test date the Borrower failed to comply with the financial covenants in clause 22 (Financial Covenants) of the Facilities Agreement. The breaches constitute Events of Default which are continuing (the "Specified Defaults").

(C) The Obligors have requested, and the Bank has agreed, on the terms and subject to the conditions of this Agreement, to refrain for a limited period from exercising certain of its rights and remedies arising as a result of the Specified Defaults, to enable the parties to seek to agree a consensual amendment and restatement of the Facilities Agreement.

IT IS AGREED as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 **Definitions.**

In this Agreement, unless the context otherwise requires, capitalised terms have the meanings given to them in the Facilities Agreement and, in addition:

"Adviser" means Marlow Tax & Advisory Ltd, the independent business review and restructuring adviser to the Group, or such other adviser as the Bank may approve (such approval not to be unreasonably withheld).

"Effective Date" means the date on which the Bank confirms in writing to the Obligors that the conditions in clause 3 (Conditions to Effectiveness) have been satisfied or waived.

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"Facilities Agreement" means the senior facilities agreement dated 19 March 2023 between (among others) the Borrower and the Bank, as amended, varied, supplemented and/or restated from time to time.

"Facilities" means together the term loan facility, the revolving credit facility and the overdraft facility made available under the Facilities Agreement.

"IBR" means the independent business review of the Group to be prepared by the Adviser and addressed to the Bank in form and substance satisfactory to the Bank.

"Milestones" means the milestones set out in Schedule 1 (Milestones).

"Security" means the Debentures, the Composite Guarantee and Indemnity, the Share Charge and each other document creating or evidencing security for the obligations of the Obligors under the Finance Documents.

"Specified Defaults" means the Events of Default described in Background paragraph (B) and any further Event of Default arising solely from the same financial covenant non-compliance at the March 2026 test date and notified by the Borrower to the Bank under clause 4.2.

"Standstill Period" means the period commencing on the Effective Date and ending on the Termination Date.

"Termination Date" means the earliest of (a) the date 13 weeks after the Effective Date; (b) the date on which a Standstill Termination Event occurs; and (c) the date on which an amendment and restatement of the Facilities Agreement becomes effective.

"Standstill Termination Event" means any of the events described in clause 6 (Standstill Termination Events).

1.2 Construction. Clause 1.2 (Construction) of the Facilities Agreement applies to this Agreement as if set out in full, with references to "this Agreement" being to this Agreement.

1.3 Finance Document. This Agreement is a Finance Document for the purposes of the Facilities Agreement.

2. ACKNOWLEDGEMENTS

2.1 Each Obligor acknowledges and agrees that: (a) the Specified Defaults have occurred and are continuing; (b) as a result, the Bank is entitled (subject only to the terms of this Agreement) to exercise its rights and remedies under the Finance Documents, including to accelerate the Facilities and to enforce the Security; and (c) nothing in this Agreement constitutes a waiver of the Specified Defaults except to the limited extent expressly set out in clause 5.

2.2 Each Obligor confirms that, as at the date of this Agreement, the aggregate amount outstanding under the Facilities is approximately £38.5 million, comprising the term loan (£24.5m), the revolving credit facility (£12.0m) and the overdraft (£2.0m), together with accrued interest and fees, and that such amounts are due and owing without set-off, counterclaim or deduction.

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2.3 Each Obligor confirms that the Security remains in full force and effect and secures the obligations of the Obligors under the Finance Documents (including as affected by this Agreement).

3. CONDITIONS TO EFFECTIVENESS

3.1 This Agreement (other than this clause 3 and clauses 1, 12 to 19 inclusive, which take effect on signing) will take effect on the Effective Date.

3.2 The conditions to effectiveness are that the Bank has received, in form and substance satisfactory to it:

(a) a copy of this Agreement duly executed by each Obligor;

(b) a certified copy of board minutes of each Obligor authorising the execution of this Agreement;

(c) an engagement letter or scope of work for the Adviser in respect of the IBR;

(d) the initial 13-week cash flow forecast referred to in clause 4.1(b); and

(e) payment of the standstill fee referred to in clause 7.1 and the Bank's costs invoiced to date under clause 13.

4. INFORMATION UNDERTAKINGS AND MILESTONES

4.1 During the Standstill Period each Obligor shall provide to the Bank:

(a) monthly management accounts within 15 Business Days of each month end;

(b) a rolling 13-week cash flow forecast, updated weekly, together with a variance analysis against the previous forecast, by close of business each Wednesday;

(c) the IBR, in draft by the date specified in Schedule 1 and in final form addressed to the Bank by the date specified in Schedule 1; and

(d) such other information regarding the business, assets and financial condition of the Group as the Bank may reasonably request.

4.2 The Obligors shall comply with, and shall procure that the Group complies with, the Milestones set out in Schedule 1. Failure to meet a Milestone (and to remedy it within any applicable grace period) is a Standstill Termination Event.

4.3 The Obligors shall procure that the Bank and its advisers have reasonable access during business hours to the management, premises, books and records of the Group, and shall co-operate with the Adviser in the preparation of the IBR.

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5. STANDSTILL

5.1 Subject to the terms of this Agreement, during the Standstill Period the Bank shall not, by reason only of the Specified Defaults: (a) accelerate or demand repayment of the Facilities; (b) enforce or take steps to enforce the Security; (c) issue any demand under the Composite Guarantee and Indemnity; or (d) commence any insolvency or similar proceedings against any Obligor.

5.2 The standstill in clause 5.1 is limited to the Specified Defaults. It does not extend to any other Default or Event of Default, whether occurring before, on or after the date of this Agreement, and the Bank reserves all of its rights in respect of any such other Default or Event of Default.

5.3 Nothing in this Agreement obliges the Bank to make any further advance under the Facilities, and the availability of the revolving credit facility and overdraft remains subject to the terms of the Facilities Agreement and to the Bank's discretion.

5.4 Interest, fees and other amounts shall continue to accrue and be payable in accordance with the Facilities Agreement throughout the Standstill Period.

6. STANDSTILL TERMINATION EVENTS

6.1 Each of the following is a Standstill Termination Event:

(a) any Obligor fails to comply with any term of this Agreement (including a Milestone) and, where capable of remedy, does not remedy it within ~~three~~two Business Days of the earlier of notice from the Bank and an Obligor becoming aware of it;

(b) any Default or Event of Default occurs other than the Specified Defaults;

(c) any representation in clause 8 is or proves to have been incorrect or misleading in any material respect when made or deemed repeated;

(d) the IBR is not delivered by the date specified in Schedule 1, or its findings are, in the Bank's reasonable opinion, materially adverse to the prospects of a consensual restructuring;

(e) any creditor takes enforcement, execution or insolvency action against any member of the Group that is not discharged or stayed within ~~five~~three Business Days; or

(f) in the reasonable opinion of the Bank there has been a material adverse change in the business, assets or financial condition of the Group taken as a whole.

6.2 On and from the occurrence of a Standstill Termination Event the standstill in clause 5 shall cease to apply and the Bank shall be entitled to exercise all of its rights and remedies under the Finance Documents in respect of the Specified Defaults and otherwise.

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7. FEES

7.1 The Borrower shall pay to the Bank a standstill fee of ~~25~~35 basis points on total commitments under the Facilities, which fee is non-refundable and is payable on the date of this Agreement.

7.2 The fee in clause 7.1 is in addition to, and without prejudice to, any amendment or consent fee that may be agreed in connection with any amendment and restatement of the Facilities Agreement.

8. REPRESENTATIONS

8.1 Each Obligor makes the representations set out in clause 19 (Representations) of the Facilities Agreement (other than those expressly affected by the Specified Defaults) by reference to the facts and circumstances existing on the date of this Agreement and on the Effective Date.

8.2 Each Obligor further represents that: (a) it has the power to enter into and perform this Agreement and has taken all necessary corporate action to authorise it; (b) no Standstill Termination Event has occurred and is continuing other than the Specified Defaults; and (~~b~~c) this Agreement constitutes its legal, valid, binding and enforceable obligations.

9. RESERVATION OF RIGHTS

9.1 Except as expressly set out in this Agreement, nothing in this Agreement: (a) waives or is to be construed as a waiver of any Default or Event of Default; (b) prejudices or affects any of the rights, powers or remedies of the Bank under the Finance Documents or at law; or (c) constitutes a course of dealing or representation as to the future conduct of the Bank.

9.2 Any delay by the Bank in exercising, or any failure to exercise, any right under the Finance Documents is not a waiver of that right.

10. CONTINUING EFFECT OF FINANCE DOCUMENTS

10.1 Save as expressly amended or waived by this Agreement, the Facilities Agreement and the other Finance Documents remain in full force and effect.

10.2 Each Obligor confirms that the Security continues to secure the obligations of the Obligors under the Finance Documents (as affected by this Agreement) and that this Agreement does not novate or discharge those obligations or that Security.

11. GUARANTOR CONFIRMATION

11.1 Each of Pumps and Fluid Systems confirms that its guarantee under the Composite Guarantee and Indemnity extends to the obligations of the Borrower under the Facilities Agreement as affected by this Agreement, and that such guarantee remains in full force and effect.

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12. COSTS AND EXPENSES

12.1 The Borrower shall, within three Business Days of demand, pay to the Bank the amount of all costs and expenses (including legal fees) reasonably incurred by the Bank in connection with the negotiation, preparation, execution and any enforcement of this Agreement and the wider restructuring, in accordance with clause 17 (Costs and Expenses) of the Facilities Agreement.

13. CONFIDENTIALITY AND ANNOUNCEMENTS

13.1 The existence and terms of this Agreement and of the discussions between the parties are confidential and shall not be disclosed by any party except as permitted under clause 35 (Confidentiality) of the Facilities Agreement or with the prior written consent of the other parties or as required by law or any regulatory authority.

14. NOTICES

14.1 Clause 32 (Notices) of the Facilities Agreement applies to any notice or communication under or in connection with this Agreement.

15. REMEDIES AND WAIVERS

15.1 No failure to exercise, nor any delay in exercising, any right or remedy under this Agreement shall operate as a waiver, nor shall any single or partial exercise of any right or remedy prevent any further or other exercise of it.

16. PARTIAL INVALIDITY

16.1 If at any time any provision of this Agreement is or becomes illegal, invalid or unenforceable in any respect, neither the legality, validity nor enforceability of the remaining provisions shall in any way be affected or impaired.

17. COUNTERPARTS

17.1 This Agreement may be executed in any number of counterparts, each of which is an original and all of which together evidence the same agreement.

18. THIRD PARTY RIGHTS

18.1 A person who is not a party to this Agreement has no right under the Contracts (Rights of Third Parties) Act 1999 to enforce or to enjoy the benefit of any term of this Agreement.

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19. GOVERNING LAW AND JURISDICTION

19.1 This Agreement and any non-contractual obligations arising out of or in connection with it are governed by English law.

19.2 The courts of England and Wales have exclusive jurisdiction to settle any dispute arising out of or in connection with this Agreement.

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SCHEDULE 1

MILESTONES

Milestone	Date (Business Days from Effective Date)
Appointment of the Adviser and agreement of the IBR scope	By the Effective Date
Delivery of the initial 13-week cash flow forecast	By the Effective Date
Delivery of the draft IBR to the Bank	Within 25 Business Days
Delivery of the final IBR addressed to the Bank	Within 35 Business Days
Agreement of heads of terms for the amendment and restatement	Within 45 Business Days
Execution of the amendment and restatement agreement	By the end of the Standstill Period

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EXECUTION PAGE

EXECUTED as a deed by PENNINGTON INDUSTRIES LIMITED acting by a director:

Director: ..... (Richard Pennington)

in the presence of:

Witness signature: .....

Witness name and address: .....

EXECUTED as a deed by PENNINGTON PUMPS LIMITED acting by a director:

Director: ..... (Henry Doyle)

in the presence of:

Witness signature: .....

EXECUTED as a deed by PENNINGTON FLUID SYSTEMS LIMITED acting by a director:

Director: ..... (Naomi Patel)

SIGNED for and on behalf of CALDERBANK MERCANTILE BANK PLC (as Lender, Agent and Security Trustee):

Authorised signatory: ..... (Eleanor Whitmore, Director, Restructuring)

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